



Growth extension

Talk about change

Real GDP may increase as working hours increase.

Non material SOL falls while material SOL rises

Fall in leisure time leads to health problem

Negative externality on the healthcare system

Measures of Welfare

Human development index (HDI) - life expectancy, education, per capita income

2 social data and 1 economic- broad range

Rich countries perform as the indicator is too simple need up to 15 factors

No tech development, no global scale

Social Progress Index

Social and environmental needs

Basic human needs, opportunity to progress, relative performance

Not economic factors

Solely non material welfare

Benefits of Economic Growth

Increasing levels of national income therefore able to satisfy more wants

Increase in real income

More economic opportunities

Taxation dividend to government which can be spent on public and merit goods

Higher quality goods and services due to more investment in capital goods from companies

Public sector can receive tax revenue which benefits society

Positive externality more money means more hospital and education resulting in a more educated society

Costs of Economic Growth

Not everyone receives the increase in SOL

Brings about structural unemployment, inflation, environmental degradation and social dislocation

Structural unemployment refers to the mismatch of demand between different sectors. Affects whole sector

Associated with structural change in an economy

Demand pull inflation

Social costs- crime suicide due to stress

Environment problems- pollution, negative externality

EXPLAIN- Structural unemployment is bad because people are unemployed for longer times which results in standard of living falling.

House inflation, wage inflation, labour shortage, falling savings, excessive credit, trade shortages

Balance of payments

Tracks internal and external loss and gain

Imports rise to satisfy an increasingly active household **leakage**

Low growth

Labour surplus

Good deflation

House deflation

Unemployment (cyclical)

Excessive debt

Public sector debt

Fall in tax revenue

More unemployment benefits

